

TESLA

A Smoother RIDE

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► **THE WORLD'S** third-largest auto market could offer a lifeline to Tesla. The US-based electric vehicle (EV) giant has seen a significant decline in sales across global markets. According to the European Automobile Manufacturers' Association, Tesla sold just under 7,517 vehicles in Europe in January—about half of what it sold during the same period last year.

Amid declining global sales and US President Donald Trump's hints of a potential recession, Tesla finalising its first showroom in India could signal the company's strategy to reverse its fortunes. The automaker recently posted 13 job openings on LinkedIn and has reportedly secured site in Mumbai for the showroom.

Could India be the key to Tesla's recovery?

The first step towards cracking India's EV market would be to get the pricing right. The domestic EV market is already a battleground

in terms of pricing. Tata Motors currently leads India's EV market with a 42.65% market share. JSW MG Motors, a joint venture between India's JSW and Chinese company SAIC Motor, holds the second spot with 36.5%. Following them are Hyundai Motor India and Mahindra & Mahindra with 14.8% and 5.3% market shares, respectively, as of February 2025.

The price of Tesla's models is likely to start from ₹40 lakh in India. The entry-level EVs sold by Tata and MG cost less than half of that. Therefore, it would be a luxury car competing with higher-end EVs made by BMW, and Mercedes. "Brands like the Tesla Model 3 might see a price range of ₹35 lakh to ₹40 lakh, although this remains to be seen based on factors such as import duties and localisation efforts," says Harshvardhan Sharma, Head-Auto Retail Practice, Nomura Research Institute.

Tesla's interest in India comes after the Indian government last year lowered import duties on certain EVs from companies committing at least \$500 million investment and manufacturing facilities within three years. The companies that meet the investment and manufacturing requirements will be allowed to import a limited number of EVs at a lower tax of 15% for models costing \$35,000 and above. India previously levied a tax of 70% or 100% on imported cars and EVs, depending on their value.

Tesla has been trying to enter the Indian market for years, but New Delhi wasn't keen unless it committed to local manufacturing. Tesla officials have visited India several times, and Elon Musk has met Prime Minister Narendra Modi in 2023.

"The average price of EVs in India is ₹12-13 lakh, which suggests that Tesla's premium pricing could